

FEDERAL MARITIME COMMISSION, WASHINGTON DC

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	)	
Muhammad Rana,	)	Docket No. 19-03
Complainant	)	
	)	
V.	)	
	)	
Michal Franklin	)	
AKA Michelle Franklin,	)	July 7, 2020
D.B.A "The Right Move Inc.,"	)	
Respondent	)	

COMPLAINANT'S REPLY TO RESPONDENTS' BRIEF ON APPEAL OF INITIAL DECISION

Pursuant to Rule 227 of the Federal Maritime Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.227, the Complainant hereby replies to the Respondents' (Michal Franklin AKA Michelle Franklin D.B.A The Right Move Inc.) Appeal of Initial Decision (Respondents' Exceptions). Respondents' Appeal and Exceptions in Docket No. 19-03 were filed on June 15, 2020.

I. RELEVANT PROCEDURAL BACKGROUND

On May 13, 2019, the Commission's Office of the Secretary served a notice of filing of complaint and assignment which required Respondent to respond to the complaint. A timely response was not received from Respondent. The initial complaint alleged a violation of 46 USC § 41102(c).

On June 10, 2019, Complainant filed a motion seeking an entry of default and summary decision on default. On July 25, 2019, an order to show cause was issued. Respondent filed limited responses by email and Complainant filed multiple motions. On October 30, 2019, an order denying motions for default and summary decision, to strike, and to compel; discharging the show cause order; and a scheduling order was issued. In the same order, on October 30, 2019, the Complaint was amended to include an allegation of a violation of 46 USC § 41102(a).

On January 6, 2020, an order was issued granting Complainant's second motion to compel and requiring Respondent to answer discovery. On January 15, 2020, Respondent filed a response to discovery providing limited information and declining to provide further details for information she deemed "irrelevant." On January 23, 2020, Complainant filed a motion seeking a finding of facts as a discovery sanction and moving for default decision and Respondent filed a response to the motion.

On February 6, 2020, an order was issued denying Complainant's motion for finding of facts and default decision but permitting Respondent's failure to provide documents and answer interrogatories

to support an inference that those responses would have been adverse to her interests. On February 12, 2020, an order was issued denying a motion for clarification.

On February 26, 2020, Complainant filed his brief, proposed findings of fact and a motion to amend the complaint. On March 6, 2020, Complainant filed a supplement to the motion to amend the complaint.

On March 17, 2020, Respondent filed her opposition brief and appendix with four exhibits. On March 23, 2020, Respondent filed proposed findings of facts and an expanded appendix with sixteen exhibits.

On April 9, 2020, Complainant filed his reply brief. On April 9, 2020, Respondent sent an email responding to the reply brief. Although typically not permitted, the Respondent's April 9, 2020 reply was added to the record as a Sur-Reply.

On May 12, 2020 the Administrative Law Judge (ALJ) issued the Initial Decision finding that the Respondent violated 46 USC § 41102(a). The allegation of a violation of 46 USC § 41102(c) was withdrawn. The ALJ ordered the Respondent to pay the Complainant reparations in the amount of \$7,472.40, plus interest to be calculated by the Commission when the decision becomes administratively final.

On June 15, 2020, the Respondent filed her appeal and submitted supplemental exhibits that were never submitted prior to the filing of the Appeal. There are a total of 18 exhibits submitted by the Respondent in support of the Appeal (*See Respondent's exhibits on appeal, exhibits 0-0 through 9-0*). This posture makes this Appeal unique because the Respondent is attempting to supplement the record on Appeal.

II. DISCUSSION

The Respondent has not demonstrated any legal error in the ALJ's decision. The ALJ's decision and findings of facts are based on factual record and a preponderance of the evidence. In support of the Appeal, the Respondent has submitted new exhibits that were never previously submitted and is attempting to supplement the record. This is highly irregular because generally appellate courts do not allow for the inclusion of new evidence or the supplementation of the record on appeal. See *Fassett v. Delta Kappa Epsilon*, 807 F.2d 1150, 1165 (3rd Cir. 1986); See *Barcamerica Intl. USA Trust v. Tyfield Imps., Inc.*, 289 F.3d 589, 593-94 (9th Cir. 2002); See also *Berger v. Bd. Of Cnty. Comm'rs*, 295 Fed. App'x 42, 46 (6th Cir.2008). The Federal Rules of Appellate Procedure rule 10(a)'s definition of the "Record on Appeal" is limited to pleadings, papers and documents filed with the lower court and the record that was established by the lower court.

Appellate courts have the authority to supplement a record under rule 10(e)(2)(C) of the Federal Rules of Appellate Procedures only "if anything material to either party is omitted from or misstated in the record by error or accident." Appellate courts can also supplement a record under rule 201 of the Federal Rules of Evidence, by taking judicial notice of highly indisputable facts or other court

proceedings that directly relate to the issues on appeal. The general rule of appellate review based on a closed record "is subject to the right of an appellate court in a proper case to take judicial notice of new developments not considered by the lower court." See *Landy v. FDIC*, 486 F.2d 139, 151 (3d Cir. 1973).

However, in this case at hand, nothing material was omitted or misstated by error or accident; nor is there any highly indisputable fact in Respondent's supplemental exhibits. In fact, the new exhibits introduced on appeal are highly questionable and disputable. In *re Application of Adan*, 437 F.3d 381, 388 n. 3 (3d Cir. 2006); *George v. Smith*, 586 F.3d 479, 486 n. 1 (7th Cir. 2009) courts denied supplementation when the evidence sought to be introduced was never offered to the lower courts until after the appeals process had begun. In *Inland Bulk Transfer Co. v. Cummins Engine Co.*, 332 F.3d 1007, 1012 (6th Cir. 2003) the court refused to add new material that was never considered by the lower court because it was "not permitted under the rule." In *U.S. v. Page*, 661 F.2d 1080, 1082 (5th Cir. 1981) the court noted that "[n]ew proceedings of a substantive nature, designed to supply what might have been done but was not, are beyond the reach of the rule." In *Thompson v. Bell*, 373 F.3d 688, 690 (6th Cir. 2004) the court ruled adhering to court's "previous interpretation that Rule 10(e) does not allow inclusion in the appellate record of material that the district court did not consider;" reversed on other grounds, 545 U.S. 794 (2005). The Tenth Circuit Court has even refused supplementation under FRAP 10(e)(2) when the omission arose from logistical or technical difficulties encountered at the district court level by a pro se litigant. See *Duvall v. Putnam City Sch. Dist.*, 530 Fed. Appx. 804, 806 n. 1 (10th Cir. 2013).

The Supreme Court has held that courts of appeal are required to "consider any change, either in fact or in law, which has supervened" since the initial decision was issued by a lower court. See *Patterson v. Ala.*, 294 U.S. 600, 607 (1935); See also *Watts, Watts & Co. v. Unione Austriaca Di Navigazione*, 248 U.S. 9, 21 (1918). As such the Complainant recognizes that the Commission has the inherent equitable discretionary authority to supplement the record when changes in the pertinent law or changes in the fact affect the outcome, or alter either the suitability of injunctive relief or the court's subject-matter jurisdiction.

The Complainant requests the Commission that if a decision is made to supplement the record with Respondent's additional exhibits presented for the first time on appeal, then the supplementary exhibits submitted by the Complainant in response to the appeal should also be considered as dispositive evidence and allowed to become part of the record (*See Attached Complainant's Supplementary Exhibits 42 through 48*).

A. TROY BILL OF LADING

The Respondent argues that the delay in sharing the BOL and the delay in the delivery of shipment to the Complainant was caused by the Complainant's failure to properly itemize the list. This is a flawed and dishonest argument by the Respondent. The fact of the matter is that the Complainant had followed the original instructions and had already provided the Respondent with the inventory and consignee info back in February 2019. In March 2019, the Respondent was arbitrarily claiming that the

itemization was not proper and that the Complainant had to submit another itemized list. The Complainant would like to point out that TROY's *complete and final* Bill of Lading had already been issued on February 27, 2019. TROY's complete and final Bill of Lading number: 1239458, is dated "2/27/2019" and clearly states "72 PIECES OF USED HOUSEHOLD GOODS AND PERSONAL EFFECT" with a gross weight of "1360.78 KG." *See Complainant's Exhibit 6.* This demonstrates that the complete Bill of Lading had been issued with the original itemized list that the Complainant submitted back in February 2019. This is the *complete, final and original Bill of Lading* that was used for the passage and for customs clearance. The Respondent in March was arbitrarily withholding the original BOL and asking the Complainant to resubmit the itemized list and telling him about additional costs, perhaps in an attempt to extort more money. The Complainant complied and resubmitted the itemized list multiple times in March 2019, but the Respondent still did not share the BOL with the Complainant timely and waited until after the arrival of Complainant's shipment in Karachi to share the BOL.

The Respondent in her Sur-Reply to the ALJ dated April 9, 2020, stated in her own words that, "we all agree that the bill of lading is indeed not the issue." *See Respondent's Sur-Reply.* The Respondent appears to be bringing this up and making an issue out of this now in order to deflect the attention from the actual issue at hand, which is Respondent's failure to timely submit the BOL to the Complainant and the Respondent's failure to pay Ocean charges.

The only change that the Complainant requested was that his name, including middle name, as it appeared on the passport matches the Complainant's name on the Bill of Lading. This was based on the Complainant's agent's request out of an abundance of caution. The Complainant had submitted his passport to the Respondent back in February 2019; it was the Respondent's responsibility to ensure that the name on Complainant's passport matched the name on the Bill of Lading.

In support of the Appeal, the Respondent has submitted selective and limited email correspondence with TROY Container Line representative. *See Respondent's supplemental exhibit 1-0 and 2-1 submitted on appeal.* This selective email correspondence with TROY Container Line is inadmissible because, firstly this was never submitted for the record prior to the appeal. Secondly, the Complainant had requested in discovery for the Respondent to provide all correspondence with TROY, which the Respondent failed to honor. In his discovery request the Complainant had requested among other things:

1. Any and all written correspondence or written communication between the respondent or any person / representative acting on behalf of the Right Move Inc and Troy Container Line, Ltd from February 6, 2019 till the present date that relate directly to the Bill of Lading number 1239458; and the shipping , delivery, transportation of complainants goods / cargo / items.
2. Any and all records of oral communication between the respondent or any person acting on behalf the Right Move Inc and Troy Container Line, Ltd from February 6, 2019 till the present date that relate directly to the Bill of Lading number 1239458; and the shipping , delivery, transportation of complainants goods, cargo or items.

See Complainant's Request for the Production of Documents 1 & 2. The Respondent failed to produce these documents and at the time argued that this discovery was irrelevant. See Respondent's Answers to Complainant's Discovery Request. If this discovery was irrelevant then why is the Respondent submitting limited emails with TROY now on appeal. The fact of the matter is that by failing to reveal all correspondence with TROY the Respondent is trying to conceal material facts that would have impacted her interests negatively in this litigation. Those documents would have further established that the delay was caused by Respondent's failure to pay Ocean. See Complainant's Exhibit 8. This fact is also supported by Respondent's failure to respond to Complainant's discovery: Request for the Production of Documents 1 and 2.

B. RESPONDENT'S INLAND COSTS

The Respondent on appeal claims that:

The ocean cost was \$1,045 as presented in Exhibit 2-0 The respondent expected inland costs in the USA for \$970, leaving her with a potential profit of \$580.00 Exhibit 9-0 are the Invoices paid for the inland transport in the amount of \$1,265. See Respondent's Appeal, page 15.

The Respondent's claim that she paid inland transportation for Complainant's goods in the amount of \$1,265.00 is false. This follows a pattern of false and deceitful claims made by the Respondent throughout this proceeding. A closer examination of the Respondent's supplemental exhibit 9-0, page 1 that was submitted with the appeal, clearly shows an invoice that has absolutely nothing to do with the Complainant's shipment. This invoice is someone else's invoice and transportation cost. This invoice is completely unrelated to the transportation of Complainant's cargo.

Original Invoice

WORLD LOGISTICS GROUP - 147-48 182ND STREET - SPRINGFIELD GARDENS, NY 11413 - PHONE: 800-530-9636 - FAX: 516-750-1211						
Invoice Number	Invoice Date	Customer #	Airbills	Due Date	Invoice Amount	If Not Paid by Due Date
WLG00302TD01	04/01/2019	WLG00302	1	04/01/2019	\$970.00	\$1067.00
Carrier - Airbill # Origin/Dest Ship Date Customer # Reference(s)	Sender Address	Receiver Address	Pieces Weight Dims Zone Pkg Type/Class	Charges	Total	
USA Truck - ZIMUORF0873321 04/02/2019 WLG00302 Z19117NY	TAMIR AVRAHAMOV 66 SHORT PLACE CRESSKILL, NJ 07626 USA	MAHER TERMINALS 1210 CORBIN STREET PORT ELIZABETH, NJ 07201 USA	20	Full Container Move \$750.00 Chasis Fee \$70.00 Detention Charge \$150.00 Note: 2DAYS CHASIS, 2 HOURS DETENTION	\$970.00	
					Total:	\$970.00

- The invoice on Respondent's supplemental exhibit 9-0, page 1 shows that the transportation took place on April 2, 2019; whereas the Complainant's cargo had already reached Port Qasim, Karachi on March 31, 2019.
- The invoice on Respondent's Supplemental exhibit 9-0, page 1 shows the name of the sender as "Tamir Avrahamov," clearly this is not the Complainant nor is this person an associate or an agent of the Complainant.

- The invoice on Respondent's supplemental exhibit 9-0, page 1 shows the sender address as "66 Short Place, Cresskill, NJ 07626" and the receiver address as "Maher Terminals, 1210 Corbin Street, Port Elizabeth, NJ 07201 USA." Whereas, the Complainant's inland transportation was from Alexandria, VA to Seagrit Terminal, Baltimore, Maryland.

The invoice in the amount of \$295.00 listed on Respondent's supplemental exhibit 9-0, page 2 appears to relate to the inland cost associated with Complainant's cargo. *See Respondent's supplemental exhibit 9-0, page 2.* This invoice shows a 20 foot container with household goods of personal effect and lists Seagrit Terminal, in Baltimore, Maryland as the sender's address. Although the date listed on the invoice is February 7, 2019 and the receiver address is missing; the invoice appears to relate to Complainant's cargo. According to the shipping agreement, the Respondent was required bring a 20 foot container to Complainant's residence in Alexandria, VA. The Complainant was required to load the container and then the Respondent was responsible for delivering the 20 foot container to Port Qasim, Karachi via Seagrit Terminal in Baltimore, MD. The Complainant paid the Respondent \$2595.00 for the shipping of his goods. Even considering the \$295.00 inland transportation cost, the Respondent profited in the amount of $\$2595.00 - \$295.00 = \$2300.00$ by not paying the ocean cost and defrauding the Complainant in violation of 46 USC § 41102(a).

C. CUSTOMS CLEARANCE AT PORT QASIM, KARACHI

The Complainant has always maintained that it took about 3 to 4 days to clear Customs, after complainant's goods were released for Customs Inspection. *See Complainant's Exhibit 41, page 2 of 3.* The Complainant is now in possession of the Customs Baggage Declaration Form which was processed and returned to Complainant's agent by the Pakistani Customs Department. *See Complainant's Supplemental Exhibit 42 and 43.* The Complainant's agent forgot to give this form to the Complainant previously. After the appeal was filed, the Complainant reached out to his agent and was able to get this form. As requested earlier, if a decision is made to supplement the record on appeal then Complainant's supplemental exhibits, including Exhibits 42 and 43, should also be admitted in the record.

According to the Complainant's Baggage Declaration Form, Complainant's Baggage Declaration was submitted and accepted for processing by the Port Qasim Customs Inspection on April 15, 2019 at 18:33 hours. *See Complainant's Supplemental Exhibit 42, page 1 and exhibit 43, page 1.* On April 18, 2019, Complainant's baggage was inspected by the Customs Officials and appropriate taxes (duty / tariff) were assessed. *See Complainant's Supplemental Exhibit 42, page 2 and exhibit 43, page 2.* On April 19, 2019 the Complainant through his agent paid taxes in the amount of \$175.00 to the Pakistan Customs Department, after which Complainant's baggage / cargo was cleared by Customs. *See Complainant's Supplemental Exhibit 42 and 43.* This clearly establishes that it took 3 days for the Complainant's Customs to clear, 4 days if one includes April 19, 2020.

The Complainant is also submitting additional exhibits in the event the Commission allows for the supplementation of record on appeal. According to a reputable world renowned US based company

'Ranier Overseas Movers,' the Customs clearance in Pakistan takes about 4 – 5 days and the Consignee should be present for Customs clearance. *See Complainant's Supplemental Exhibit 45, Page 2 of 3.* According to ABELS, another famous international moving company based in United Kingdom, it also takes about 4-5 days to clear Customs in Pakistan. *See Complainant's Supplemental Exhibit 46, Page 4 of 7.* According to Atlas International, a moving company based in the US, it takes about 4 days for the Customs to clear in Pakistan and customer presence is required during shipment clearance. *See Complainant's Supplemental Exhibit 47, Page 1 of 3.*

Prior to the appeal the Respondent falsely maintained that it takes about 17 to 20 days for Customs to clear in Pakistan. In her final brief dated March 17, 2020, the Respondent states:

I have done enough shipments to Pakistan to know that 17- 20 days is reasonable time to clear custom in Pakistan. *See Respondent's final brief, dated March 17, 2020, page 5.*

However, now on appeal, the Respondent is claiming that it takes about 7 to 10 days for Customs to clear in Pakistan. To support her changing contention, the Respondent submitted as an exhibit, email correspondence with Galaxy Movers based in Islamabad, Pakistan. The Respondent conveniently kept out and did not include the original email she sent to the Galaxy Movers that prompted them to respond to her query. It is to be noted that Galaxy movers do not have this information on their website, so the Complainant finds them to be a questionable source. Either way, the Complainant reached out to the Galaxy movers and requested information via email. According to the email response Complainant received from Galaxy Mover's General Manager, it takes about 4 – 7 days for the Customs to clear in Pakistan. *See Complainant's exhibit 48, Page 1 of 3.*

An important detail here that should be noted is that the Complainant's Customs process went through the "Transfer of Residence" or "TR" designation which is different from the regular "commercial" designation. Under the "Transfer of Residence," a person is allowed to bring to Pakistan household goods of personal effect under duty free or reduced duty tax rates. This process is also faster and expeditious compared to the Customs process for commercial goods. The Customs clearance process in Pakistan also depends on the weight, load and the amount of dutiable goods. The Complainants' cargo only included 72 PIECES OF USED HOUSEHOLD GOODS AND PERSONAL EFFECT with a gross weight of 1360.78 KG inside a 20 foot container.

D. COMPLAINANT'S PRESENCE IN KARACHI

The Respondent on appeal asserts that the Complainant's presence in Karachi, Pakistan from April 2, 2019 through April 23, 2019 was unnecessary and not required. As already mentioned the Complainant's Customs process went through the "Transfer of Residence" designation. Unlike commercial goods exported or imported by companies where the companies can send their representative or an agent; the best practice for "Transfer of Residence" is for the passenger or the individual applying for "Transfer of Residence" to appear in person before the Customs Official and show their original passport along with original documents. It is true that Pakistan Customs does allow for an

authorized agent or an attorney to appear and apply for "Transfer of Residence" on another person's behalf as long as the agent or the attorney brings the passenger's *original* passport, visa, employment letter, and original documentation etc. However, in discretion or upon suspicion, the Pakistan Customs Officials can always require a passenger or an individual applying for "Transfer of Residence" to appear in person for an interview. This is why many renowned, reputable and well established moving companies either require, that the customer appear in person before the Customs Officials or be physically present in Karachi (or the city where Customs Inspection will take place), in the event they are summoned to appear in person by the Pakistan Customs. *See Complainant's Supplemental Exhibit 45, Page 2 of 3. See also Complainant's Exhibit 47, Page 1 of 3.*

It is to be noted that according to the contract, the Respondent was only responsible for delivering goods to the Complainant at Port Qasim, Karachi. The Complainant had to, on his own, hire a local trucking company to transfer and haul Complainant's goods from Port Qasim Karachi to his new residence in Islamabad. This process involved first the unloading of goods from the 20 foot container at Port Qasim onto a local truck only used for transportation within Port Qasim. Then the goods were transferred at one of the loading docks at the entrance of Port Qasim onto the truck that carried the goods to Complainant's new residence in Islamabad. As such the Complainant made a reasonable decision to be present in Karachi to ensure that there is no theft of goods during the process of loading and unloading; and that the goods are handled with care during the loading and unloading process. As an individual consumer who was relocating to Pakistan, the Complainant's decision to be physically present in Karachi to oversee the Customs process, loading, unloading and the transfer of his goods was a reasonable decision.

III. CONCLUSION

For the foregoing reason, the Complainant respectfully requests that the Commission deny Respondents' exceptions to the ALJ's Initial Decision in Docket No. 19-03, and affirm the ALJ's decision with respect to finding violation of 46 USC § 41102(a), as well as the ALJ's assessment of the reparations in the amount of \$7,472.40 plus interest.

Respectfully submitted,



Muhammad J. Rana (Complainant)

I hereby certify that, on July 7, 2020, a copy of the foregoing attached Reply and Supplemental Exhibits was sent to the following by the method indicated below:

FMC Secretary
Rachel E. Dickon

VIA Electronic Mail:
secretary@fmc.gov

Respondent, Michal Franklin;
AKA Michelle Franklin;
D.B.A The Right Move, Inc.

VIA Electronic Mail:
mfranklin@therightmove4u.com



Muhammad J. Rana (Complainant)